GOVERNMENT OF INDIA
MINISTRY OF FINANCE
INCOME TAX DEPARTMENT
OFFICE OF THE COMMISSIONER OF INCOME TAX (APPEALS)
NATIONAL FACELESS APPEAL CENTRE (NFAC), DELHI

Appeal No.	:	NFAC/2017-18/10999913
Name of the appellant	:	Shri Kalpit Udaharan
Address	:	12, Specimen Wadi, Nashik - 422 000 (fictitious)
PAN	:	ABCPU1234K
Assessment Year	:	2017-18
Section under which the order appealed against was passed	:	147 r.w.s. 144B
Order appealed against passed by	:	Assessment Unit, Income Tax Department, dated 29/03/2022
Date of filing of appeal	:	26/04/2022
Appearance for the appellant	:	None (no compliance to the notices)
Date of order	:	20/10/2026
DIN & Order No.	:	ITBA/NFAC/S/250/2026-27/1099999913(1)

Order u/s 250 of Income Tax Act, 1961

1. The appeal was filed on 26/04/2022 against the order dated 29/03/2022 passed under section 147 r.w.s. 144B of the Income Tax Act, 1961 (the Act) by the Income Tax Officer, Ward 2(3), Nashik (fictitious), hereinafter 'the AO', for A.Y. 2017-18. Under the Faceless Appeal Scheme, the appeal was allotted to the National Faceless Appeal Centre, and notices for faceless appeal u/s 250 were issued to the appellant.

2. **Facts of the Case:-**

The appellant filed the return of income for A.Y. 2017-18 declaring total income of Rs.3,85,000/-. On the information that the appellant had purchased an immovable property and made time deposits during F.Y. 2016-17, notice u/s 148 was issued. In response to a notice received u/s 142(1) of Income Tax Act, 1961 the appellant did not furnish the details called for. The AO completed the assessment u/s 147 r.w.s. 144B on 29.03.2022, wherein the total income was assessed at Rs.29,85,000/- by making total addition Rs.26,00,000/- (additions on account of Rs.18,60,000/- investment in immovable property and Time deposit Rs.7,40,000/-) u/s 69 of Income Tax Act 1961, and raised a demand of Rs.14,21,370/-.

3. The grounds of appeal are as under:

    1. On the facts and in the circumstances of the case, the ld. AO erred in assessing the total income at Rs.29,85,000/- by making total addition Rs.26,00,000/- (additions on account of Rs.18,60,000/- investment in immovable property and Time deposit Rs.7,40,000/-) u/s 69 of Income Tax Act, 1961.

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2. The ld. AO erred in treating the investment of Rs.18,60,000/- in immovable property as unexplained investment u/s 69 without appreciating that it was made out of loans from family members.

3. The ld. AO erred in treating the time deposits of Rs.7,40,000/- as unexplained investment u/s 69 although they were made out of agricultural income.

4. The appellant craves leave to add, alter, amend or withdraw any ground of appeal.

4. The appellant had not filed any written submission with his Form No. 35. To decide the grounds of appeal, the appellant was asked to file written submissions with documentary evidences. This was done by way of issue of notices u/s 250 of the Income Tax Act, 1961. FIVE notices u/s 250 of the Act were issued to the appellant, but no written submission was filed on the e-filing portal.

Sr. No.	Date of issue of Notice u/s 250	Date fixed for submission/ Hearing	Response by Appellant
1	12.01.2026	19.01.2026	No response
2	05.03.2026	12.03.2026	No response
3	16.05.2026	23.05.2026	No response
4	21.07.2026	28.07.2026	No response
5	08.09.2026	15.09.2026	No response

The appellant has not filed any submission in support of the grounds of appeal filed. In the absence of any further submission, this appeal is decided on the basis of the material on record.

5. **DECISION**

Despite FIVE (5) opportunities by way of issue of notices u/s. 250 of the Act, the appellant has not filed any written submission in response to such notices. Thus, the appellant has failed to substantiate through written submissions or documentary evidences any of the grounds of appeal which he has filed in Form 35.

5.1 An appellant who files an appeal is expected to prosecute it. An appeal does not mean merely filing the memorandum of appeal but pursuing it effectively.

5.2 In view of the conduct of the appellant, I am of the considered view that the appellant is not interested in pursuing the appeal. The appellant has chosen not to attend the hearing or file any written submission in support of the grounds of appeal, and the appeal is therefore decided ex parte on the basis of the material available on record.

6. **FINDINGS:**

6.1 **FINDINGS REGARDING GROUND OF APPEAL NO. 1, 2, 3 & 4:**

1. On the facts and in the circumstances of the case, the ld. AO erred in assessing the total income at Rs.29,85,000/- by making total addition Rs.26,00,000/- (additions on account of Rs.18,60,000/- investment in immovable property and Time deposit Rs.7,40,000/-) u/s 69 of Income Tax Act, 1961.

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2. The ld. AO erred in treating the investment of Rs.18,60,000/- in immovable property as unexplained investment u/s 69 without appreciating that it was made out of loans from family members.

3. The ld. AO erred in treating the time deposits of Rs.7,40,000/- as unexplained investment u/s 69 although they were made out of agricultural income.

4. The appellant craves leave to add, alter, amend or withdraw any ground of appeal.

The grounds of appeal are interconnected and hence, for the purpose of this appeal, they are decided together.

4.2. **Unexplained investment u/s 69 (Investment in immovable property)**

4.2.1 During F.Y. 2016-17 relevant to A.Y. 2017-18, the appellant purchased an immovable property for a consideration of Rs.18,60,000/-. Invoking the provisions of section 69 of the Act, the appellant was asked to explain the source of the investment. As no explanation was furnished, the Assessing Officer has made addition of Rs.18,60,000/- as unexplained investment u/s. 69.

4.3. **Unexplained investment u/s 69 (Time deposits)**

4.3.1 On verification of the bank accounts of the assessee, held with The Sample Co-operative Bank Ltd. (fictitious), it was seen that the appellant made time deposits of Rs.7,40,000/- during F.Y. 2016-17 relevant to A.Y. 2017-18.

4.3.2 As no documentary evidence was furnished, the Assessing Officer has made addition of Rs.7,40,000/- as unexplained investment u/s. 69. The source was not explained to the satisfaction of the Assessing Officer, who has held the same to be unexplained under Section 69 of the Income Tax Act.

Further, even during the appellate proceedings, despite the issue of FIVE notices, the appellant has not explained how the AO has erred in making the addition of Rs.26,00,000/-. Nothing has been brought on record to support the grounds which the appellant has taken in the grounds of appeal in this regard. Thus, it is held that the AO has correctly made the addition on the basis of the material on record.

In view of the same, the addition of Rs.26,00,000/- made by the AO is Confirmed. Therefore, in view of the above discussion, all the Grounds of appeal no. 1, 2, 3 & 4 are Dismissed.

8. IN THE RESULT, THE APPEAL IS DISMISSED.

Sd/-
Commissioner of Income Tax (Appeals)
National Faceless Appeal Centre (NFAC), Delhi

Copy to:

1. The appellant
2. The Pr. CIT, Nashik (fictitious)
3. Guard file

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